班級：　　學號：　　姓名：

1. When a tax is imposed on a good, the
   a. supply curve for the good always shifts.
   b. demand curve for the good always shifts.
   c. amount of the good that buyers are willing to buy at each price always remains unchanged.
   d. equilibrium quantity of the good always decreases.

2. If a tax shifts the supply curve downward (or to the right), we can infer that the tax was levied on
   a. buyers of the good.
   b. sellers of the good.
   c. both buyers and sellers of the good.
   d. We cannot infer anything because the shift described is not consistent with a tax.

3. One result of a tax, regardless of whether the tax is placed on the buyers or the sellers, is that the
   a. equilibrium quantity of the good is unchanged.
   b. price the buyer effectively pays is lower.
   c. supply curve for the good shifts upward by the amount of the tax.
   d. tax reduces the welfare of both buyers and sellers.

4. For a good that is taxed, the area on the relevant supply-and-demand graph that represents government's tax revenue is
   a. smaller than the area that represents the loss of consumer surplus and producer surplus caused by the tax.
   b. bounded by the supply curve, the demand curve, the effective price paid by buyers, and the effective price received by sellers.
   c. a right triangle.
   d. a triangle, but not necessarily a right triangle.

5. Suppose a tax of $4 per unit is imposed on a good, and the tax causes the equilibrium quantity of the good to decrease from 2,000 units to 1,700 units. The tax decreases consumer surplus by $3,000 and decreases producer surplus by $4,400. The deadweight loss of the tax is

a. $200.
b. $400.
c. $600.
d. $1,200.

6. Suppose a tax is imposed on baseball bats. In which of the following cases will the tax cause the equilibrium quantity of baseball bats to shrink by the smallest amount?

a. The response of buyers to a change in the price of baseball bats is strong, and the response of sellers to a change in the price of baseball bats is weak.

b. The response of sellers to a change in the price of baseball bats is strong, and the response of buyers to a change in the price of baseball bats is weak.

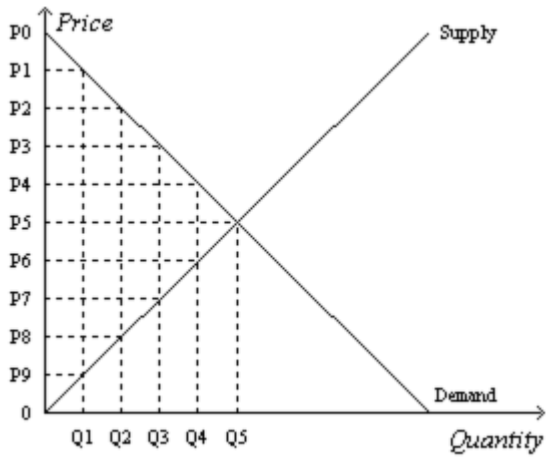
c. The response of buyers and sellers to a change in the price of baseball bats is strong.

d. The response of buyers and sellers to a change in the price of baseball bats is weak.

7. Suppose the government imposes a tax that reduces the quantity sold in the market after the tax to Q2. Without the tax, the producer surplus is

a. (P5-0) x Q5.
b. 1/2 x (P5-0) x Q5.
c. (P8-0) x Q2.
d. 1/2 x (P8-0) x Q2.

Figure A



班級：　　學號：　　姓名：

8. Suppose the government imposes a tax on cheese. The deadweight loss from this tax will likely be greater in the

a. first year after it is imposed than in the eighth year after it is imposed because demand and supply will be more elastic in the first year than in the eighth year.

b. first year after it is imposed than in the eighth year after it is imposed because demand and supply will be less elastic in the first year than in the eighth year.

c. eighth year after it is imposed than in the first year after it is imposed because demand and supply will be more elastic in the first year than in the eighth year.

d. eighth year after it is imposed than in the first year after it is imposed because demand and supply will be less elastic in the first year than in the eighth year.

9. As more people become self-employed, which allows them to determine how many hours they work per week, we would expect the deadweight loss from the Social Security tax to

a. increase, and the revenue generated from the tax to increase.

b. increase, and the revenue generated from the tax to decrease.

c. decrease, and the revenue generated from the tax to increase.

d. decrease, and the revenue generated from the tax to decrease.

10. Suppose a tax of $0.50 per unit on a good creates a deadweight loss of $100. If the tax is increased to $2.50 per unit, the deadweight loss from the new tax would be

a. $200.

b. $250.

c. $500.

d. $2,500.